

HUT 300 Industrial Economics & Foreign Trade: Study Plan

1 Introduction

This document provides a strategic study plan for HUT 300, based on the syllabus and previous year question papers. It identifies high-priority topics to focus on and low-priority topics to neglect for each module, optimized for exam preparation.

2 Module 1: Basic Concepts and Demand and Supply Analysis

2.1 Focus Areas

- **Scarcity, Choice, PPC:** Basic economic problems, opportunity cost, PPC (under-utilization, full employment, trade-offs). Practice diagrams.
- **Demand and Elasticity:** Law of demand, determinants, price/cross/advertisement elasticity. Practice numerical calculations.
- **Utility:** Law of diminishing marginal utility, total/marginal utility curves. Derive relationships and calculate marginal utility.
- **Consumer/Producer Surplus, Deadweight Loss:** Diagrammatic explanations, especially with taxation.
- **Equilibrium:** Equilibrium price/quantity, changes in demand/supply. Solve numerical problems.

2.2 Neglect/Lower Priority

- Detailed firm types (e.g., joint stock company).
- Extensive law of supply details.
- Minor exceptions to law of demand.

3 Module 2: Production and Cost

3.1 Focus Areas

- **Law of Variable Proportions:** Three stages, diagrammatic explanation.

- **Isoquants and Producer's Equilibrium:** Properties, equilibrium, expansion path. Practice numericals.
- **Break-Even Analysis:** Break-even point, contribution, margin of safety, profit. Solve numericals.
- **Cost Concepts and Curves:** Explicit/implicit costs, short/long-run curves, social costs. Derive AFC, AVC, AC, MC.
- **Cobb-Douglas Production Function:** Calculate output, marginal product.

3.2 Neglect/Lower Priority

- Detailed technical progress.
- Sunk cost details.
- External economies of scale.

4 Module 3: Market Structure

4.1 Focus Areas

- **Monopolistic Competition:** Features, equilibrium (supernormal profit). Practice diagrams.
- **Oligopoly and Kinked Demand Curve:** Price rigidity, collusive oligopoly, non-price competition.
- **Perfect Competition vs. Monopoly:** Equilibrium, demand curves, profit/loss scenarios.
- **Pricing Strategies:** Cost-plus, price skimming, predatory, penetration pricing.

4.2 Neglect/Lower Priority

- Monopoly regulation details.
- Minor pricing strategies (e.g., target return pricing).
- Extensive non-price competition methods.

5 Module 4: Macroeconomic Concepts

5.1 Focus Areas

- **National Income Estimation:** GDP, GNP, NDP, NNP (income, expenditure, product methods). Practice numericals.
- **Circular Flow of Income:** Two/four-sector models, diagrams.
- **Inflation:** Demand-pull, cost-push, monetary/fiscal measures (repo rate, CRR, SLR).

- **Financial Markets:** Bonds vs. shares, money vs. capital market, SENSEX, NIFTY, demat accounts.
- **Stock/Flow, Final/Intermediate Goods:** Foundational concepts.

5.2 Neglect/Lower Priority

- Difficulties in NI measurement.
- Minor financial instruments (e.g., government securities).
- Detailed business financing sources.

6 Module 5: International Trade

6.1 Focus Areas

- **Trade Theories:** Absolute/comparative advantage, Heckscher-Ohlin. Practice numericals.
- **Balance of Payments:** Components, disequilibrium, correction measures.
- **Free Trade vs. Protectionism:** Arguments, tariff/non-tariff barriers.
- **Devaluation:** Conditions for success, Marshall-Lerner condition.

6.2 Neglect/Lower Priority

- Detailed criticisms of trade theories.
- Unilateral transfers account.
- Depreciation vs. devaluation details.

7 Study Tips

- Practice numerical problems (elasticity, break-even, national income, trade theories).
- Master diagrammatic explanations (PPC, utility, cost curves, market equilibrium, inflation).
- Review past question papers for recurring topics and question types.